The Words on the Forms and in the Letters

Medicaid application terms in plain language, and what to write down about each.

Determination, countable, functional eligibility, fair hearing. The forms and the letters have their own vocabulary, and nobody hands you the glossary. These are eighteen words you're likely to meet while Mom's application is prepared, sent and decided, each explained from a public source, with what to write down when it comes up.

The explanations are for following the paperwork and the conversation. They aren't for working out whether Mom qualifies, or what any of it means in her state.

The program and who runs it

Medicaid

A joint federal and state public assistance program for financing health care for low-income people. Programs vary from state to state, and some states use a different name for theirs. [1] [2]

WRITE DOWN What the program is called in Mom's state, as it appears on the letters.

State Medicaid agency (Medicaid office)

States operate Medicaid day to day, including taking applications and making determinations of eligibility. The state's Medicaid office is where Medicare's introduction to Medicaid sends people for information about eligibility, coverage and appeals. [3] [2]

WRITE DOWN The office's name, address and phone number as printed on its letters.

What the state looks at

General requirements

The federal long-term care site's name for the non-financial side. The ones it lists concern citizenship or immigration status, state residency and a Social Security number. [4]

WRITE DOWN Which identity and residency papers you have, and where each is.

Financial eligibility

An assessment of a person's available income and assets to determine whether he or she meets Medicaid eligibility requirements. [1]

WRITE DOWN Which income and account records you have. The assessment itself isn't yours to do.

Functional eligibility

An assessment of a person's care needs, for Medicaid payment of long-term care services. A medical specialist in the state, such as a nurse or social worker, evaluates the needs. [1] [4]

WRITE DOWN Whether anyone has assessed Mom's care needs for Medicaid, who, and when.

Income

Money coming in. The federal long-term care site's list includes Social Security payments, veterans benefits, pensions, wages, interest and dividends, and it says the state counts some of a person's income but not all of it. [4]

WRITE DOWN Each source, who pays it, and the amount as the letter or statement shows it.

Countable and exempt assets

Countable assets are those whose value is counted in determining financial eligibility for Medicaid. Exempt assets, also called non-countable, are those whose value is not. [1]

WRITE DOWN Each account and property, by name. Don't sort them into the two groups yourself; ask your Medicaid planner how Mom's state treats each.

Transfer of assets

In the federal long-term care glossary's words, giving away property for less than it is worth. The same site says a state may ask a person to explain what happened to assets whose value went down a lot in the years before applying. [1] [3]

WRITE DOWN Any gift, sale or transfer you come across, with its date and the amount as shown. What it means for Mom is a question for your Medicaid planner.

Community spouse

The spouse of a nursing home resident who is applying for or receiving Medicaid long-term care services. [1]

WRITE DOWN If Mom is married, her spouse's name, and which records are in whose name.

Papers you may be asked about

Supporting documentation

The papers that verify what the application says. A person applying has to provide documentation to verify the general and financial requirements, and what is required depends on the state. [3] [5]

WRITE DOWN What you have under each heading, the dates it covers, and what you haven't found.

Trust

A legal arrangement that allows a person to transfer assets, such as cash, property or insurance benefits, to another person, called the trustee. [6]

WRITE DOWN Whether Mom has one, the name on the document, and where it is.

Annuity

A contract with an insurance company. [6]

WRITE DOWN The company, and where the contract and the latest statement are. How it is treated is a question for your Medicaid planner.

Durable power of attorney

A legal document that gives someone else the authority to act on your behalf on matters that you specify. It is called durable because it remains in effect if the person becomes incapacitated. [1] [7]

WRITE DOWN Whether Mom has one, who it names, and where the signed copy is. What it allows is a question for an elder law attorney.

Applying, and the decision

Application

The form a person fills out to apply. A person may apply themselves or designate someone else, such as a family member, an attorney or a friend, to apply for them. [3]

WRITE DOWN Which form it is and where it came from, once your Medicaid planner has confirmed the right one, and who is applying for Mom.

Determination

The state's decision about eligibility. It arrives by letter. [3]

WRITE DOWN The date on the letter, and where the letter is.

Approval letter and date of eligibility

If a person is approved, the letter gives the date of eligibility and the amount the person must pay toward the cost of their care. [3]

WRITE DOWN The date and the amount exactly as the letter states them. What they mean for Mom's bills is a question for your Medicaid planner.

Denial letter

If a person isn't approved, the letter explains the reason for the denial and how to appeal the decision. [3]

WRITE DOWN The date on the letter, and the reason in the letter's own words. Take it to your Medicaid planner.

Fair hearing

States must give people the opportunity to request one regarding a denial, an action by the state agency that the person believes was erroneous, or a case where the state has not acted with reasonable promptness. [8]

WRITE DOWN What the letter says about how to ask for one, copied as written. The next move is a question for your Medicaid planner or an elder law attorney.

Six words for your own log

These aren't official terms. They're the headings this roadmap uses for keeping track of an application, described in our own words.

- Proof of submission: whatever shows that the application or a document was sent or received. Write down what it is and where you keep it.
- Case or application number: a number printed on the agency's letters or given to you when something was submitted, if there is one. Write down which letter it appears on.
- Request for additional information: a letter or a call from the agency asking for something more. Write down the date, and what it asks for in its own words.
- Reply date: a date a letter states for answering. Copy it exactly as printed; don't work one out.
- Outstanding request: something that was asked for and hasn't gone back yet. Write down who is handling it.
- Application status: where things stand today, such as being put together, sent, or waiting on something. Write down the date you last checked and who told you.

What this sheet doesn't do

It explains words. It doesn't say how any account, policy or property is treated, which rules apply where Mom lives, or whether she may qualify for anything. That's for your Medicaid planner and the other professionals who look at her situation. Nothing here is legal, financial or tax advice.

Ready for the next step?

You can follow the forms and the letters now. The planning interview asks about your family's situation in plain language, one question at a time, and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare.gov), Glossary
2. Centers for Medicare & Medicaid Services (Medicare.gov publication), Medicaid: Getting Started
3. Administration for Community Living (LongTermCare.gov), Applying for Medicaid
4. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
5. USA.gov, How to apply for Medicaid and CHIP
6. National Institute on Aging, Paying for Long-Term Care
7. Consumer Financial Protection Bureau, Planning for diminished capacity and illness
8. Centers for Medicare & Medicaid Services (Medicaid.gov), Eligibility Policy